

EU sanctions on Russian oil supplies will impact India

The recently announced EU import **ban** on refined petroleum products from any third country except Canada, Norway, Switzerland, the UK and the US (to come into effect from January 2026) **has** both a **strategic** and **protectionist intent**. The EU wants to reduce dependence on Asian refined petroleum supplies and create a Western **bloc** for the same. After 2022, India emerged as among the top three suppliers of refined petroleum to the EU.

The latest **move**, along with a price **cap** of \$47.6 on a barrel of Russian crude against \$60 at present (to **come into force** from September), a level above which Western insurers cannot **finance** the transaction and shipment, **raises** concerns for India's future oil trade — both imports and exports. Russia has been selling its oil at above the price cap through '**shadow fleet**' **vessels**, some of which have been **servicing** India. The EU order bans an additional 105 such vessels from **port** access and other **maritime** services, **in addition to** the **existing** 444. Nayara **Energy** "with Rosneft as its major **shareholder**" **finds** a special mention for being "a major customer of the shadow fleet". Over 35 per cent of India's crude imports are sourced from Russia now, against less than 5 per cent before the Ukraine war that began in February 2022. It has **made** business **sense** for Indian refiners to buy Russian crude at above the price cap and sell the processed version to Europe.

The question now is whether it is just as **viable** for India to buy Russian crude in a situation of tighter **curbs** and closure of a ready market. There is the additional factor of market prices looking **bearish** over time. Petroleum Minister Hardeep Puri has said in media interactions that he expects market prices to fall below \$60 a barrel (now at about \$68) over time with non-OPEC countries **stepping up** supplies. The **fact** that markets have not **hardened** after the **sanctions** announcement **appears** to **bear out** this **assessment**. Puri also suggested that there are any number of sourcing options. Whether this will **lead to** reduced imports of Russian crude **remains to be seen**.

Major refiners will have to find new markets, **perhaps** in South America and Africa. The **lens** on Rosneft is a concern. As a short-term **fallout** of these sanctions, India's \$15 billion petroleum exports to the EU will **take a hit**, perhaps **to the extent** of \$5 billion, according to some **analysts**. India imports about \$140 billion of petroleum products and exports refined petroleum of about \$85 billion. India's sourcing strategies should be shaped by **pragmatic considerations** rather than ever-changing geopolitical currents. It has done well **so far**. India's trade choices were not impacted by the Russia-Ukraine conflict. This kind of approach should continue. **Meanwhile**, it can be **assumed** that EU's **protectionism** is here to stay. At a time when **geopolitical** interests and trade are more **intertwined** than ever, India may come under pressure to source from newer markets. It should **prioritise** its energy costs and security.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

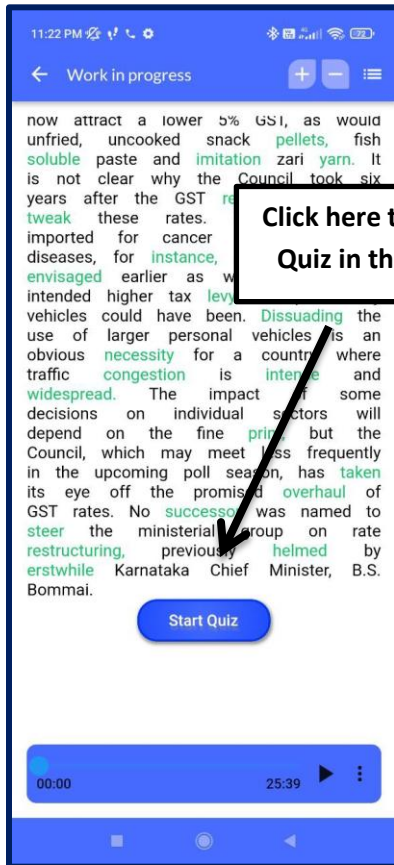
1. **Sanction** (noun) – penalty, embargo, restriction, punishment, prohibition
प्रतिबंध
2. **Strategic** (adjective) – tactical, planned, calculated, deliberate, purposeful
रणनीतिक
3. **Protectionist** (adjective) – isolationist, restrictive, anti-import, defensive, sheltering
संरक्षणवादी
4. **Intent** (noun) – purpose, aim, objective, goal, resolve
उद्देश्य
5. **Bloc** (noun) – alliance, coalition, group, union, consortium
गठबंधन
6. **Cap** (noun) – limit, ceiling, maximum, restriction, threshold
सीमा
7. **Come into force** (phrase) – take effect, become active, become operative, start applying, commence
लागू होना
8. **Finance** (verb) – fund, support, back, sponsor, underwrite
वित्तपोषण करना
9. **Shadow fleet** (noun) – a "ship or vessel that uses concealing tactics to smuggle sanctioned goods".
10. **Vessel** (noun) – ship, boat, craft, barge, freighter
पोत
11. **Service** (verb) – operate, manage, supply, maintain, attend to
सेवाएं देना
12. **Port** (noun) – harbor, dock, seaport, terminal, marina
बंदरगाह
13. **Maritime** (adjective) – naval, oceanic, nautical, marine, seafaring
समुद्री
14. **In addition to** (phrase) – besides, apart from, as well as, along with, plus
के अतिरिक्त
15. **Existing** (adjective) – current, present, available, operating, ongoing
मौजूदा
16. **Shareholder** (noun) – investor, stockholder, stakeholder, equity holder, part-owner
शेयरधारक
17. **Make sense** (phrase) – be logical, be reasonable, be clear, be understandable, be rational
समझ में आना
18. **Viable** (adjective) – feasible, workable, practical, achievable, sustainable
व्यावहारिक
19. **Curb** (noun) – restriction, control, limit, restraint, suppression
रोकथाम
20. **Bearish** (adjective) – declining, pessimistic, weak, downward, negative
मंदी वाला
21. **Step up** (phrasal verb) – increase, raise, boost, escalate, intensify
बढ़ाना
22. **Harden** (verb) – strengthen, intensify, solidify, toughen, fortify
सख्त होना

23. **Sanction** (noun) – ban, penalty, restriction, embargo, censure प्रतिबंध
24. **Bear out** (phrasal verb) – confirm, support, validate, substantiate, affirm पुष्टि करना
25. **Assessment** (noun) – evaluation, analysis, judgment, estimation, appraisal मूल्यांकन
26. **Lead** (to) (verb) – result in, cause, bring about, give rise to, trigger कारण बनना
27. **Remains to be seen** (phrase) – uncertain, undecided, not yet clear, unconfirmed, unknown अभी तय नहीं
28. **Perhaps** (adverb) – maybe, possibly, conceivably, potentially, peradventure शायद
29. **Fallout** (noun) – consequence, repercussion, result, aftermath, impact परिणाम
30. **Take a hit** (phrase) – suffer loss, be damaged, decline, incur harm, be affected नुकसान उठाना
31. **To the extent** (phrase) – as far as, up to the point, insofar as, to a degree, within limits हद तक
32. **Analyst** (noun) – expert, evaluator, commentator, assessor, forecaster विश्लेषक
33. **Pragmatic** (adjective) – practical, realistic, sensible, rational, down-to-earth व्यवहारिक
34. **Consideration** (noun) – thought, factor, reason, concern, reflection विचार
35. **Meanwhile** (adverb) – in the meantime, at the same time, concurrently, simultaneously, during this time इस दौरान
36. **Assume** (verb) – suppose, presume, believe, guess, take for granted मान लेना
37. **Protectionism** (noun) – trade restriction, economic nationalism, shielding, import control, tariff policy संरक्षणवाद
38. **Geopolitical** (adjective) – international, global-political, strategic, diplomatic, foreign-policy related भू-राजनीतिक
39. **Intertwined** (adjective) – connected, linked, interrelated, entangled, interwoven आपस में जुड़ा हुआ
40. **Prioritise** (verb) – rank, give preference, focus on, emphasize, highlight प्राथमिकता देना

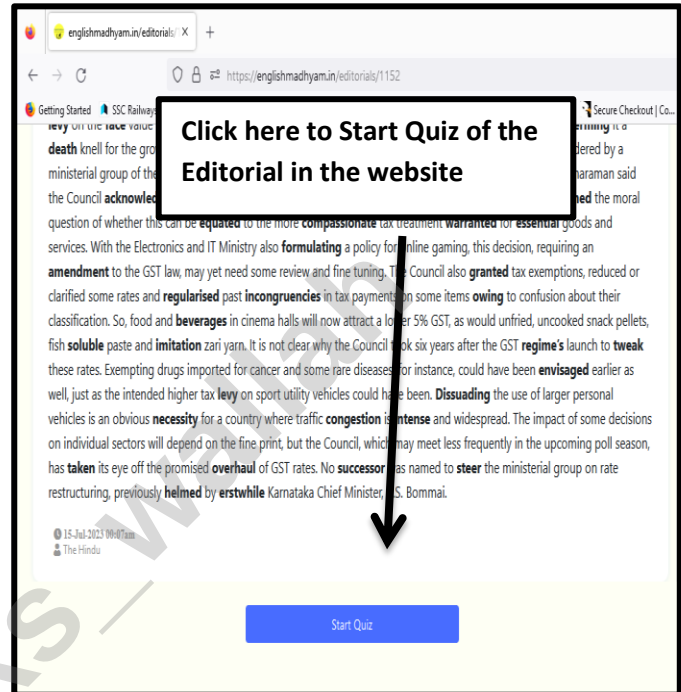
Summary of the Editorial

1. EU Ban Announced: The EU will ban refined petroleum imports from all third countries (except Canada, Norway, Switzerland, UK, and US) starting January 2026.
2. Strategic Intent: The ban is both strategic and protectionist, aimed at reducing dependence on Asian oil supplies and creating a Western oil bloc.
3. India's Role: Since 2022, India became one of the top three suppliers of refined petroleum to the EU.
4. Price Cap on Russian Crude: A new price cap of \$47.6 per barrel (down from \$60) on Russian crude will take effect from September 2025, limiting financial services above this level.
5. Impact on India's Oil Trade: These moves raise concerns for India's oil imports and exports, especially given its reliance on Russian crude.
6. Shadow Fleet Issue: Russia uses 'shadow fleet' vessels to bypass sanctions; many of these have serviced India.
7. EU Vessel Ban: EU has banned 105 more shadow vessels, in addition to the already banned 444 ships, affecting shipping options.
8. Nayara Energy Named: Nayara Energy, part-owned by Rosneft, is specifically mentioned as a major shadow fleet customer.
9. Rising Dependency: Over 35% of India's crude imports come from Russia now, compared to less than 5% before 2022.
10. Economic Logic: Indian refiners profited by buying discounted Russian crude and selling refined products to Europe.
11. Viability at Risk: New sanctions and loss of the EU market raise doubts about the continued economic viability of this model.
12. Global Price Trends: Minister Hardeep Puri believes prices will fall below \$60/barrel, driven by non-OPEC supply growth.
13. New Market Search: Indian refiners may need to find alternate export markets, such as in South America and Africa.
14. Trade Impact: India's \$15 billion petroleum exports to the EU could decline by \$5 billion due to sanctions.
15. Pragmatic Strategy Needed: India must base its energy policy on pragmatism and energy security, not shifting geopolitical tides, while expecting continued EU protectionism.

Practice Exercise: Banking Pattern Based



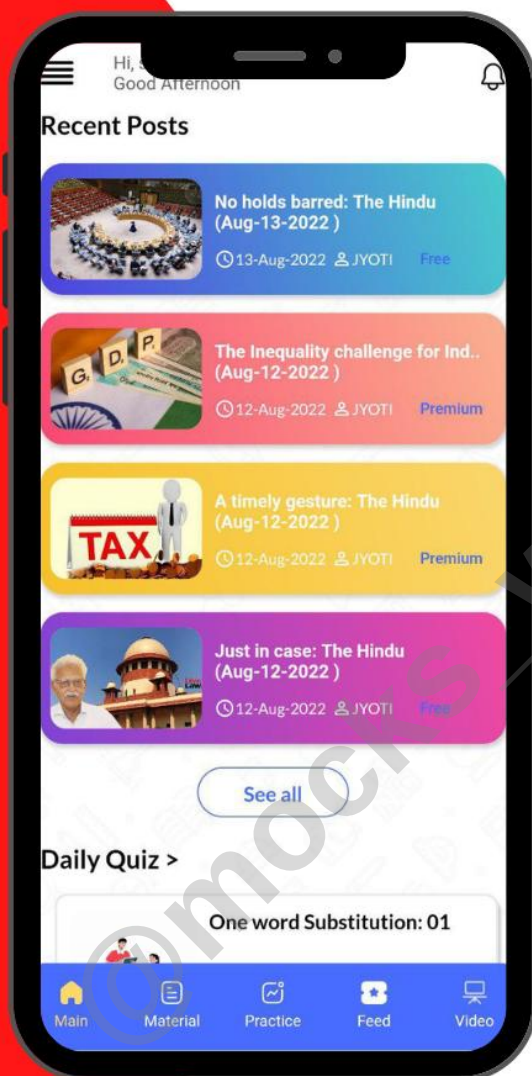
Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)



Learn Vocabulary Through Reading Articles

English Madhyam